EUROPEAN COMMISSION
DG Competition

Case M.10702 – KPS CAPITAL PARTNERS / REAL ALLOY EUROPE

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 23/03/2023

EUROPEAN COMMISSION

Brussels, 23.3.2023
C(2023) 2173 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

KPS Capital Partners, LP
One Vanderbilt Avenue, 52nd Floor
New York, NY 10017
United States of America

Dear Sir or Madam,

Subject: Case M.10702 – KPS CAPITAL PARTNERS / REAL ALLOY EUROPE Approval of Aurea as purchaser of the Divestment Business following your letter of 8 March 2023 and the Trustee's opinion of 14 March 2023.

1. FACTS AND PROCEDURE

(1) By decision of 19 October 2022 (the 'Decision'), adopted pursuant to Article 6(1)(b) and Article 6(2) of the Merger Regulation, the Commission declared the acquisition within the meaning of Article 3(1)(b) of the Merger Regulation by […], a fund managed by KPS Capital Partners, LP ('KPS' or 'Notifying Party', USA) through […], of sole control of the whole of Evergreen Holding Germany GmbH ('Evergreen', Germany) and Real Alloy UK Holdco Ltd., ('Real Alloy UK', UK) (together referred to as 'Real Alloy Europe' or 'Target') from Real Alloy Holding, LLC ('Real Alloy Holding', USA), by way of purchase of shares (the 'Transaction'), compatible with the internal market, subject to conditions and obligations (the 'Commitments'). KPS and Real Alloy Europe are together referred to as the 'Parties'.

(2) In particular, the Commitments provide that KPS will divest the Target's business Récupération Valorisation Aluminium in France ('RVA Business') and the Target's plant in Swansea, United Kingdom ('Swansea Business') (together the 'Divestment Business'). Under the terms of the Commitments, the Divestment Business includes:

(a) For the Swansea Business, [description of the facilities/equipment];

(b) Additional tangible assets related to the Swansea Business as specified in the Commitments, Annex 5;

(c) The permit to operate the Swansea Business as specified in the Commitments, Annex 7;

(d) All relevant contracts for the Swansea Business as specified in the Commitments, Annex 9.a and 9.b;

(e) For the RVA Business, the full salt slag recycling unit, including milling and re-crystallisation and the entire site as well as the buildings on the site;

(f) Additional tangible assets related to the RVA Business as specified in the Commitments, Annex 6;

(g) The permit to operate the RVA Business as specified in the Commitments, Annex 8;

(h) All relevant contracts for the RVA Business as specified in the Commitments, Annex 10;

(i) all customer, credit, and other records of the Divestment Business;

(j) the personnel necessary to operate and ensure the viability of the Divestment Business, including the key personnel identified in the Commitments, Annex 11.

(3) In accordance with the Commitments, KPS commits to offer to the buyer of the Divestment Business the following transitional services:

(a) The supply for a transitional period of […] after the transfer of the legal title of the Divestment Business to a purchaser, of salt slag recycling services to the Swansea Business for up to […] annually as well as an additional arrangement to be agreed with the purchaser on arm's length basis of up to […] annually under which Real Alloy Europe will supply salt slag recycling services to the Swansea Business;

(b) The supply of continuous access to the Enterprise resource planning (ERP) system currently hosted by Real Alloy North America to the Divestment Business for a transitional period of up to […] after Closing and on terms and conditions equivalent to those at present afforded to the Divestment Business;

(3) In order to support the purchaser of the Divestment Business maintaining the competitiveness of the Divestment Business, KPS commits to establish an escrow account with a funding of […].

(4) Lastly and as a safeguard, KPS commits that the Divestment Business will have no more than […] of salt slag recycling services capacity annually dedicated contractually to KPS until […], while the Parties remain free to agree with the Purchaser at arm's length basis a higher quantity.

(5) By letter of 8 March 2023, the Notifying Party proposed Aurea SA ('Aurea' France) for approval by the Commission as purchaser of the Divestment Business and submitted the proposed Equity and Purchase Agreement and further related agreements (the 'Proposed Agreement').

(6) On 14 March 2023, Advolis (the 'Trustee') submitted an assessment of Aurea's suitability as a purchaser and, in particular, indicated that it fulfils the criteria of the purchaser requirements in section D of the Commitments attached to the Decision

('Reasoned Opinion'). In this assessment, the Trustee also indicated that, on the basis of the Proposed Agreement, the Divestment Business would be sold in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PROPOSAL

(7) Pursuant to paragraphs 101 and seq. of the Commission notice on remedies, the Commission has to verify that the remedy-taker fulfils the purchaser criteria and that the Divestment Business is being transferred in a manner consistent with the Commitments. Pursuant to paragraph 48 of the Commission notice on remedies, (i) the purchaser is required to be independent of and unconnected to the parties (ii) the purchaser must possess the financial resources, proven relevant expertise and have the incentive and ability to maintain and develop the divested business as a viable and active competitive force in competition with the parties and other competitors, and (iii) the acquisition of the business by a proposed purchaser is neither likely to create new competition problems nor give rise to a risk that the implementation of the commitments will be delayed.

2.1. The proposed purchaser

(8) The proposed purchaser, Aurea, is a European group dedicated to the circular economy. It employs nearly 600 people through a network of 13 industrial sites in France and Belgium and is organized around four areas of activity:

(a) Metals & Alloys: […]% of its 2021 turnover (recycling of aluminium, copper and manufacture of copper alloys);

(b) Petroleum products: […]% of its 2021 turnover (regeneration of used motor oils, treatment of polluted water and hydrocarbons, recycling of PVC and various plastics);

(c) Rubber & Developments: […]% of its 2021 turnover (recycling of tires, mercury waste and other hazardous waste);

(d) Chemistry/Pharma: […]% of its 2021 turnover (manufacture and regeneration of various specialty chemicals).

(9) More specifically, the group is active in a number of specialty activities including:

(a) the treatment of mercury waste and the manufacture of aluminium alloys,

(b) the manufacture of copper alloys and the collection of used oils,

(c) the regeneration of black engine oils and the manufacture of wheels with solid tires from used tires,

(d) the manufacture of zinc chloride,

(e) cadmium processing and copper spray processing.

(10) In 2021, Aurea's portfolio had global revenues of approximately […]. [Information on geographic footprint and allocation of turnover].

2.2. Independence from the Parties

(11) Pursuant to paragraph 48 of the Commission notice on remedies, in order to be approved by the Commission, a suitable purchaser must be independent from and unconnected to KPS and its Affiliated Undertakings.

(12) According to the information provided by KPS[1] and by the Trustee[2], there are no cross-shareholding between the Parties and Aurea (including their affiliated undertakings). Specifically, neither the Proposed Purchaser nor any of its affiliated companies have any shareholdings in companies, which are related to, or form part of, KPS or Real Alloy Europe. None of the Proposed Purchaser's affiliated companies have any common executive or non-executive directorships, or memberships on the management or supervisory boards of either KPS or Real Alloy Europe. There are no cross shareholdings, management, or board links either.

(13) Aurea can therefore be considered as independent from, and unconnected to, KPS in terms of ownership and investments.

(14) Moreover, the Trustee explains that pre-existing commercial relationships inplace between Real Alloy and Aurea will not impede Aurea's independence as the existing contractual supply relationship is between Regeal Affimet, a wholly owned subsidiary of Aurea, and the Divestment Business, RVA. Regeal Affimet sends […] of salt slag every year to be processed at RVA. This relationship will be internalized following the acquisition of the Divestment Business and no longer constitute a link between the Parties and the Purchaser.

(15) The Commission agrees with the assessment of the Trustee. There are no cross-shareholdings, common board members, or structural links between the Parties and pre-existing commercial relationships in place between Real Alloy and Aurea will no longer constitute a link between the Parties and the Purchaser following the acquisition of the Divestment Business.

(16) Based on the above, in particular (i) the absence of shareholding links and (ii) the absence of remaining commercial links after the divestment, the Commission is of the view that Aurea is independent from the Parties and their Affiliated Undertakings.

2.3. Financial resources, proven expertise and incentive to maintain and develop the Divested Business as a viable and active competitor

(17) Pursuant to paragraph 48 of the Commission notice on remedies, a suitable purchaser shall have the financial resources, proven expertise, and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

2.3.1. Financial resources to maintain and develop the Divestment Business

(18) The Notifying Party explains that Aurea has sufficient cash liquidity and financing lines not only to acquire the Divestment Business but also to maintain and develop it as a competitive force. According to the key balance sheet of 30 June 2022, the shareholder equity amounts to […] with a financial debt of […], resulting in […] in cash and cash equivalents. Aurea submits that as of today, the cash balance is still approximately […]. Given the cash balance alone, there is no need for any external financing.

[1] Notifying Party's Reasoned Proposal to the European Commission, 8 March 2023, section 4.2.
[2] Reasoned Opinion, Section 2.2.

(19) The Notifying Party explains that these amounts allow Aurea to have sufficient cash and liquidity to pay the acquisition price which under the Proposed Agreement, is set at […] (subject to customary adjustments). In addition, not only Aurea will have access to an escrow account to fund investments until 2025 but it also has sufficient cash and liquidity reserves to finance additional investments easily. In addition, Aurea has existing credit facilities already in place, which could be used to fund the acquisition and future investments into the Divestment Business.

(20) The Trustee confirmed that Aurea's current cash balance remains at approximately […] today and considers that Aurea has more than sufficient cash and liquidity to pay the acquisition price. The Trustee also considers that Aurea's cash reserves are more than sufficient to support the ongoing operation and future development of the Divestment Businesses, while also having access to a large escrow ([…]) to fund investments until 2025. The Trustee explained that Aurea intends to utilize the escrow fund in full and to supplement it by using its own cash reserves to invest in further upgrades of the RVA facility, particularly with regard to health and safety.

(21) The Commission agrees with the assessment of the Trustee. Aurea has sufficient cash reserves to acquire the Divestment Businesses, but also to invest to maintain and develop the Divestment Business as a viable and active competitor.

(22) In the light of the above and considering (i) the level of cash and liquidity available to Aurea, (ii) the acquisition price of the Divestment Business and (iii) the amount made available to Aurea through the escrow, the Commission considers that Aurea's financial resources are sufficient to support and develop the RVA and Swansea Businesses going forward.

2.3.2. Proven expertise

(23) Regarding the Purchaser's proven expertise, the Notifying Party submits that Aurea has been active for years in industries that are the same as, or closely related to, those of the Divestment Business.

(24) First, with respect to expertise in the aluminium sector, the Notifying Party puts forward that Aurea has gathered a significant experience in the aluminium industry thanks to the acquisition in 2019* of Regeal Affimet, a company that manufactures ingots made from recycled aluminium.

(25) Second, the Notifying Party also stresses that Aurea has a significant experience in recycling industries in general that share important similarities with the Divestment Business' salt slag recycling business. In particular, the Notifying Party submits that Aurea is a specialist in niche markets of the recycling industry with capabilities covering the recycling of copper and mercury, chemical waste as well as wastewater. In the Notifying Party's view, Aurea's experience within the recycling industry will be beneficial in the understanding of the processes which are required to ensure safe treatment and processing of hazardous substances like salt slag.

(26) In its Reasoned Opinion, the Trustee reviewed Aurea's acquisition experience and considered that Aurea has indeed a history of successful business acquisitions that align with its expertise in the recycling of metals and other industrial products. The

* Should read: 2009.

Trustee notes that since Aurea bought Regeal Affimet, it has acquired five additional businesses which are active in the recycling of other metals. These acquisitions demonstrate according to the Trustee that Aurea has significant experience in recycling industries that have similar attributes to the Divestment Business, particularly with regard to salt slag.

(27) The Trustee also analysed Aurea's business activities highlighting the important experience that it has both in the aluminium and recycling industries and concluded as such that Aurea has a proven track record in the same markets or closely related markets to those of the Divestment Business.[3]

(28) Furthermore, the Trustee confirmed that Aurea has the necessary personnel and systems to ensure business continuity within the Divestment Business as a stand-alone entity.[4] For the RVA Business, the Trustee is of the view that it already operates at or close to capacity with a limited number of clients and its commercial activities can quickly be assumed by Aurea's commercial team.[5]

(29) For the Swansea business, the Trustee notes that Aurea has relevant personnel within its group to assume financial and planning activities while keeping access, albeit for a limited period, to personnel from the central commercial and engineering team at Real Alloy Europe in line with the specific covenant negotiated for that purpose between Aurea and KPS.[6]

(30) The Commission agrees with the assessment of the Trustee. Aurea has sufficient expertise in the aluminium sector, significant experience in recycling industries and a proven past track record in integrating business acquisitions demonstrating that it has the necessary expertise to integrate and develop the Divestment Business.

(31) In the light of the above and considering (i) Aurea's presence in both the aluminium and recycling sector, (ii) its past track records in integrating and investing in aluminium and recycling companies and (iii) the existence of relevant personnel having the necessary sectoral experience within Aurea, the Commission considers that Aurea has proven expertise to maintain and develop the Divested Business as a viable and active competitive.

2.3.3. Incentive to maintain and develop the Divestment Business as a viable and active competitive force

(32) The Notifying Party submits that the divestment transaction will complement Aurea's existing market activities and develop as an active competitive force in competition with KPS and other market players.

(33) First, the Divestment Business acquisition is an opportunity for Aurea to add salt slag recycling services into its product and service portfolio. The Divestment Business fits into the business strategy of […].

(34) Second, the acquisition will contribute to Aurea's overall footprint in France, while giving it an opportunity to expand in the UK. The acquisition will enable Aurea to establish its first business in the UK, making the Swansea Business a development

[3] Reasoned Opinion, Section 6.2.2.
[4] Reasoned Opinion, Section 6.2.2.
[5] Reasoned Opinion, Section 6.2.2.
[6] See clause 6.18 of the Equity Purchase Agreement.

platform for new activities in the UK. Moreover, the acquisition will allow Aurea to develop a profitable relationship with […], becoming an alternative to Befesa, the market leader in salt slag recycling in Europe.

(35) Third, according to the Notifying Party, Aurea expects that the acquisition would result in operational and commercial synergies with its existing businesses. Regarding the RVA Business, it already receives […] of salt slag from Aurea's subsidiary, Regeal Affimet and the acquisition would secure the processing of salt slag in the long-term. As to the Swansea Business, the marketing and commercial teams of Aurea will have the possibility of working together with local teams and building new commercial strategies to better serve clients with a better range of products since the Swansea Business and Regeal Affimet have complementary aluminium product offerings.

(36) The Trustee confirmed that, consistent with the business plan submitted by Aurea, the Divestment Business fits into Aurea's business strategy of […]. The Trustee further explained that Aurea expects that the acquisition would result in operational and commercial synergies with its existing businesses and that it intends to use the Swansea Business to develop its activities in the UK. In addition, thanks to an extended range of products, the acquisition of the Divestment Business will allow Aurea to become an important competitor to Befesa, the market leader in salt slag recycling in Europe. Therefore, the Trustee concludes that Aurea has the incentive to integrate, maintain and develop the Divestment Business as a viable competitive force. The Trustee further concludes that as Aurea is able to fund the Divestment Business from its own resources without relying on third party investments, it would not be subject to external pressure from investors that could affect its plans and incentives to maintain and develop the Divestment Business as a viable and active competitive force.

(37) The Commission agrees with the assessment of the Trustee. Aurea's strategy and business plan illustrate the strong rationale for Aurea to acquire and grow the Divestment Business, enhance its product offering, integrate processes that were previously outsourced and develop commercial synergies. In addition, Aurea has the resources to implement this integration and further develop the Divestment Businesses.

(38) In the light of the above and considering (i) the complementarity between Aurea's and the Divestment Business' activities, (ii) the opportunity for Aurea to extend its product range and (iii) the opportunity for Aurea to extend its geographical footprint, the Commission considers that the divestment transaction will complement Aurea's existing market activities and that Aurea will have strong incentive to maintain and develop the Divestment Business as a competitive force.

2.4. Absence of prima facie competition problems

(39) The Notifying Party submits that the acquisition of the Divestment Business by Aurea will not give rise to any prima facie competition concerns, nor any risk that the implementation of the Commitments will be delayed.

(40) The Notifying Party considers that there are negligible horizontal overlaps between Aurea and the Divestment Business in the markets for (i) the production of secondary cast aluminium and (ii) the provision of cast dross recycling services. First, with respect to the production of secondary cast aluminium, the Notifying Party explained that, in 2021, Aurea, through its subsidiary Regeal Affimet,

produced […] of recycled cast aluminium while Swansea's production of recycled cast aluminium was of only […] during the same year.[7] In a total market estimated by the Notifying Party at […], the increment in market share resulting from the acquisition of the Swansea Business is far less than [0-5]% and the combined market share of Aurea and the Divestment Business is less than [0-5]%.[8] Second, as to cast dross recycling services, the Notifying Party submits that in 2021, the volume of recycled cast dross by Aurea was […], while Swansea's total amount of produced cast aluminium was of […] in 2021. The increment in market share with respect to cast recycling resulting from the acquisition of the Swansea Business is less than [0-5]%.[9] This would result in a 2021 combined market share of [0-5]% in the market for cast dross recycling services.[10]

(41) The Notifying Party stresses that a marginal vertical overlap arises with respect to salt slag treatment. According to the Notifying Party, this link is also minor since the […] of salt slag produced by Aurea represent slightly above […]% of the capacity at RVA, which amounts to […]. As this volume is entirely negligible when comparing it to the total market volume of salt slag recycling services in the EEA and the UK, the Notifying Party considers that Aurea will not be in a position to implement a foreclosure strategy post-transaction.

(42) The Trustee also assessed the vertical and horizontal overlaps arising out of the acquisition of the Divestment Business by Aurea and concluded in its Reasoned Opinion that such an acquisition would *prima facia* not lead to competition concerns.[11]

(43) The Commission considers that Aurea' acquisition of the Divestment Business *prima facia* would not lead to competition concerns.

(44) With respect to the two horizontal overlaps between the products and the services of Aurea and those of the Divestment Business, the Commission notes that indeed these are marginal.

(a) Regarding the production of secondary cast aluminium, the marginal overlap is due to the fact that Aurea focuses exclusively on the production of cast aluminium while the Divestment Business focuses almost exclusively on the production of wrought aluminium (i.e. […]% of its 2021 total aluminium output).[12] As a result, the Divestment Business has only a marginal production of secondary cast aluminium of less than […] leading to a small increment (below [0-5]%) in a market where Aurea's market share is already very limited (i.e. approx. [0-5]%).

(b) As to the provision of cast dross recycling services, the marginal overlap mirrors Aurea's and the Divestment Business' diverging activities with respect to the production of recycled aluminium (i.e. cast for Aurea and wrought for the Divestment Business). This is because dross is a by-product of aluminium production process and Aurea and the Divestment Business focus on recycling dross that is in line with the type of aluminium they

7 Notifying Party's reply to request for information RFI 20, question 4.a.
8 Notifying Party's reply to request for information RFI 20, question 4.b.
9 Notifying Party's reply to request for information RFI 20, question 4.a.
10 Notifying Party's reply to request for information RFI 20, question 4.b.
11 Reasoned Opinion, Section 6.3.1.
12 Approximately […]% of the total output of […]. See: Notifying Party's reply to request for information RFI 20, question 4.a.

produce. Aurea focuses on recycled cast dross while the Divestment Business recycles rather wrought dross.

(45) The vertical relationship between Aurea and the Divestment Business, as described below, does not give rise to *prima facie* completion concerns either.

(46) Aurea's subsidiary, Regeal Affimet recycles the salt slag it produces at the Divestment Business.[13] In 2021, the RVA Business recycled approximately […] of salt slag coming from Regeal Affimet.

(47) With respect to input foreclosure, after the acquisition of the Divestment Business, Aurea would have neither the ability, nor the incentive to foreclose Regeal Affimet's competitors from access to recycling service for salt slag because:

(a) RVA's recycled capacity is fully booked until […]. Regeal Affimet's competitors cannot be foreclosed from accessing to a service input that is not available in the market and that they are sourcing from other market players.

(b) Regeal Affimet's competitors that already recycle their salt slag with the Divestment Business (at the time being two players in addition to Real Alloy Europe) cannot be targeted by a foreclosure strategy either. This is because Regeal Affimet is a marginal player in the downstream secondary cast aluminium market with less than [0-5]% market share[14] and limited spare capacity ([…] in 2022).[15] Therefore, it could not capture any volumes that would be lost by these competitors, making any recoupment strategy unprofitable.

(c) Additional salt slag recycling capacity from the market leader Befesa is being made available to the market, as its plant in Hannover which was not operational due to a fire in November 2021 is ramping up operation.[16]

(48) With respect to customer foreclosure, after the acquisition of the Divestment Business, Aurea would have neither the ability, nor the incentive to foreclose the Divestment Business' competitors in the market for salt slag recycling service. This is simply because Regeal Affimet already recycles its entire volume of salt slag (approx. […] in 2021) exclusively at RVA.[17] As such, the acquisition of the Divestment Business by Aurea would not change anything for the Divestment Business' competitors with respect to the supply of salt slag services. Regeal Affimet was not an outlet for these competitors to supply their salt slag recycling services. Therefore, the Divestment Business' competitors would not experience any increase in their costs as they would continue to have ample alternatives for continuing selling their salt slag recycling services.[18]

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13 Reasoned Proposal, paragraph 44.

14 Notifying Party's reply to request for information RFI 20, question 4.b.

15 Aurea's reply to request for information 1, question 4.

16 See Befesa's 2022 preliminary earnings at page 6 : https://images.befesa.com/media/2023/03/2022_Preliminary_Earnings_Presentation_02_March_2023_.pdf.

17 Aurea's reply to request for information 1, question 5.

18 According to paragraph 60 of the Non-horizontal Merger Guidelines, a vertical merger would raise competition concerns in terms of customer foreclosure if upstream competitors would have higher costs in accessing the downstream market. Paragraph 61 explains that if, on the contrary, there is a sufficiently large customer base in the downstream market accessible to the merged entity' competitors, the Commission is unlikely to raise competition concerns.

(49) The acquisition of the Divestment Business by Aurea would not give rise to any risk that the implementation of the Commitments will be delayed as it is expected that all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business will be obtained in a timely manner.

(50) On the basis of the above, the Commission concludes that the acquisition of the Divestment Business by Aurea is neither likely to create *prima facie* competition concerns, nor to give rise to a risk that the implementation of the Commitments will be delayed.

(51) This prima facie assessment is based on the information available for the purpose of this buyer approval and does not prejudge the competition assessment of the acquisition of the Divestment Business by Aurea by a competent competition authority under applicable merger control rules.

2.5. Sale in a manner consistent with the Commitments

(52) The Trustee considers that the assets that are listed as included and excluded in the scope of the business to be sold under the Proposed Agreement are materially in line with the provisions of the Commitments.[19]

(53) Aurea intends to cash out capex investments as foreseen in the Commitments using all of the escrow account to invest into the list of projects as specified in the Commitments. In essence, there are funds amounting to […] which will be used in full to finance the capex projects laid out in the Commitment text and therefore in a manner consistent with the Commitments.

(54) In addition, as regards RVA, while Aurea's view is that the Commitments' capex funding is necessary to maintain current operations, based on their site visit, they consider that additional investment are needed mainly in order to mitigate environmental risks. Therefore, Aurea is planning additional investments of […] covering buildings and ground refurbishment, odours treatment, acoustic insulation and process optimisation.

(55) The Commitments foresee the inclusion in the Divestment Business of certain employees considered as key for the RVA Business and the Swansea Business. However, as explained by the Notifying Party and confirmed by the Trustee, Aurea would like to exclude:

(a) […], [some] key employees [information about key employees];

(b) [information about key employees][20].

(56) The Notifying Party submits that Aurea has voiced a preference for [details on business strategy for integration of the Divestment Business and personnel].[21] [22] The Notifying Party stresses that within ten days the expertise, files and projects related to the Divested Business can be taken over by a task force led by […] in

19 Reasoned Opinion, section 5.

20 [Information about key employees].

21 Reasoned Proposal, paragraph. 52.

22 Notifying Party's reply to request for information RFI 20, question 2.b.

line with the specific covenant of the Proposed Agreement (clause 6.18) that has been negotiated for this purpose.[23]

(57) The Notifying Party also explains that Aurea has voiced a preference for [details on business strategy for integration of the Divestment Business and personnel].[24] The Notifying Party explains that in order to avoid any immediate business interruptions during the integration plan, [details on business strategy for integration of the Divestment Business and personnel].

(58) The Trustee considers that in view of Aurea's existing expertise and handover support from Real Alloy Europe, the exclusion of these key employees will not affect the viability and competitiveness of the Divestment Business.

(59) The Commission agrees with the assessment of the Trustee that the capex implementation is in line with the Commitments and that the exclusion of key employees will not affect the Divestment Businesses' competitiveness considering Aurea's existing activities in the aluminium sector and human resources already currently available to it.

(60) Based on the above and in line with the Reasoned Opinion by the Trustee, the Commission concludes that the Divestment Business is being sold in a manner consistent with the Decision and the Commitments.

3. CONCLUSION

(61) On the basis of the above assessment, the Commission approves Aurea as a suitable purchaser for the Divestment Business.

(62) On the basis of the Proposed Agreement, the Commission further concludes that the Divestment Business is being sold in a manner consistent with the Commitments.

(63) This decision only constitutes approval of the proposed purchaser identified herein and of the Proposed Agreement. This decision does not constitute a confirmation that KPS has complied with its Commitments.

(64) This decision is based on Section D of the Commitments attached to the Commission Decision of 19 October 2022.

For the Commission

(Signed)
Olivier GUERSENT
Director-General

[23] Notifying Party's reply to request for information RFI 20, question 2.b.

[24] These individuals are : [name of 4 individuals].